Practicing Wise Asset Allocation

Traditional asset allocation uses a formula to divide your portfolio among the three main types of investments: stocks, bonds, and cash equivalents, such as money market accounts. An aggressive asset allocation might include 80 percent stocks, 15 percent bonds, and 5 percent cash. A conservative asset allocation might include 40 percent stocks, 40 percent bonds, and 20 percent cash. Because different types of investments grow at different rates, it’s a good idea to reallocate (or “rebalance”) your investments once a year. For instance, after you’ve been investing for a while, you might have a conservative portfolio of 40 percent stocks, 40 percent bonds, and 20 percent cash. If your stocks have a banner year and bonds are sluggish, the value of your portfolio might change to 60 percent stocks, 20 percent bonds, and 20 percent cash. This switch could cause your portfolio to change from conservative to aggressive without your even realizing it, so you may want to realign it by making some changes in your investments.

Choosing what percentage to invest in each category depends on a number of factors, including your risk tolerance, your age, or how much time you have to invest before you need the money, the current state of the market, and what direction interest rates are headed. A popular rule of thumb used by some experts is to reduce 100 by your age to figure out how much of your investment portfolio should be at risk in the stock market. For instance, a 27 year old should have 73 percent of his portfolio (100–27) in the market.

Diversify, Diversify, Diversify!

Diversification means not putting all your eggs in one basket. The more you spread out your investments between different kinds of securities and different sectors of the market (financial services, biomedical, technology), the lower the risk of substantial losses. Of course if all markets should sell off, as happened in 2008, diversification would not help you. Risk that threatens the entire market is called systematic risk. Diversification minimizes *unsystematic* risk.